

brokerage office, where he would stare at stock and bond certificates that hung on the wall, just like in Sidney Weinberg's office. Often he would bounce down the two flights of stairs right into the Harris Upham brokerage firm. Many of the brokers became fond of the pesky kid who never seemed to stop asking questions. From time to time they would allow young Warren to chalk the prices of stocks on the blackboard.

On Saturday mornings, when the stock exchange was open for two hours, Buffett would hang out with his paternal great-uncle Frank Buffett and his maternal great-uncle John Barber at the brokerage office. According to Buffett, Uncle Frank was a perpetual bear and Uncle John was the ever-optimistic bull. Each competed for Buffett's attention with stories of how they thought the world would unfold. All the while, Buffett stared straight ahead at the Trans-Lux stock ticker, trying to make sense of the continually changing stock prices. Each weekend he read the "Trader" column in *Barron's*. Once he finished reading all the books on his father's bookshelf, he consumed all the investment books at the local library. Soon he began charting stock prices himself, trying to understand the numerical patterns that were flashing by his eyes.

No one was surprised when 11-year-old Buffett announced he was ready to buy his first shares of stock. However, they were shocked when he informed his family he wanted to invest \$120, money he had saved from selling soda pop, peanuts, and magazines. He decided on Cities Service Preferred, one of his father's favorite stocks, and enticed his sister Doris to join him. They each bought three shares, for an investment of \$114.75 each. Buffett had studied the price chart; he was confident.

That summer the stock market declined, hitting its yearly low in June. The two junior Buffetts saw their stocks decline 30 percent. Not a day went by when Doris did not pester Warren about their loss, so when Cities Service Preferred recovered to \$40 per share, he sold their holdings, for a \$5 profit.

To Buffett's chagrin, Cities Service Preferred soon soared to \$202 a share. After commissions, Buffett calculated he had forgone a profit of over \$492. Since it had taken him five years to save \$120, he figured he had just given up 20 years of work. It was a painful lesson, but ultimately a valuable one. Buffett swore that, first, he would never again be sidetracked by what he